too little sensitivity can also be a problem as high performers get demotivated, and the slothful are not penalized. An increased emphasis on performance evaluation, including identifying low performers with the intent of helping them improve, may be warranted. In addition, rewards like Employee Stock Ownership Plans (ESOPs) that give all employees a stake in the future of the bank may be helpful. With PSB shares trading at such low levels, a small allocation to employees today may be a strong source of motivation, and can be a large source of wealth as performance improves.

(iii) Customers

Public sector banks enjoy trust with customers. An emphasis on customer service and customer-centric advice may allow them to recapture low-cost customer deposits that are migrating elsewhere. Public sector banks should take the lead in emphasizing the RBI's five-point Charter of Consumer Rights. While it is understandable that with stressed balance sheets public sector banks do not want to make too many loans to sectors in difficulty, it is less clear why their deposit growth is faltering, for the low-cost deposit franchise will be the key to their future success.

(iv) Structure

Some banks may be best off focusing on local activity, and in effect, becoming small finance banks. Others may be best off merging with other banks so as to obtain scale and geographic diversification. As banks get cleaned up, and their boards are strengthened, their boards should focus on appropriate structure as part of an overall rethink on strategy.

None of these changes are easy, but they are also not impossible. It requires work with the unions, persuading them of the need for